

EG Geo-technology, United States: Fragmented policies will undermine US tech diplomacy

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Fragmented policies will undermine US tech diplomacy

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- * The Trump administration's reactive and fragmented approach to tech foreign policy risks undermining its efforts to expand the US tech sector's global reach.
 - * Programs such as the American AI Exports Program and Pax Silica face serious resource constraints without substantial engagement and commitments from the US government.
 - * Washington's criticism of allies and their domestic tech priorities will discourage cooperation and alignment, undercutting its international technology and commercial agenda.
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Promoting US tech abroad is now a foreign policy priority. President Donald Trump's administration has pressed its case to foreign regulators from Brussels to Brasilia, opposed digital services taxes in London and Ottawa, and negotiated the removal of local content requirements in Southeast Asia. While the Biden administration saw safety and trust as key drivers for adoption of US AI technologies, the Trump administration has promised direct assistance and incentives for American companies and allies to maximize US market share. Instead of Biden's controls, Washington is now prioritizing exports of the US AI stack—hardware, data, models, data centers, cloud, and AI applications—as it competes with China, even allowing exports of some AI chips to China itself (see QuickTake: Chip export decision signals more wins coming for China , 9 December 2025)..

But AI promotion programs are under-resourced and poorly designed. Although Washington has facilitated the sale of US AI chips in the Middle East, the American AI Exports Program has been slow to gain momentum. The Commerce Department program aims to support exports of the US AI stack to strategic markets by providing companies expedited export licensing, advocacy, and financing support. However, the initiative is hobbled by heavy bureaucratic burdens, little if any funding—Eurasia Group has heard figures ranging from as much as \$20 million to as little as zero—low expectations, and lack of clarity, frustrating stakeholders.

Many US tech companies already have ample financing and customer demand, so the benefits of government support remain unclear. It is also uncertain what value companies gain by bundling their

products with those of other firms into a US government-endorsed package. Moreover, companies that already meet the program's criteria may choose to participate, but for others, the reputational cost of publicly aligning with the Trump administration in some overseas markets, along with the cost of qualifying, may outweigh the benefits.

Limited funding undermines Washington's supply-side ambitions. If the AI Exports Program aims to boost demand for American AI, the administration's Pax Silica seeks to secure the AI supply chain by building a trusted economic bloc among allies, reducing coercive dependencies, and countering Chinese dominance in critical technology ecosystems, especially critical minerals and semiconductors. Pax Silica has gained some momentum, with 24 members including the EU, but it has produced few deliverables. By contrast, the administration has committed \$12 billion to Project Vault for critical minerals and prioritized AI efforts for the Pentagon and intelligence community far more heavily. It has not secured congressional funding for Pax Silica and has committed only \$250 million to an initiative meant to catalyze an improbable \$1 trillion in investments. Without additional funding, the program is unlikely to materially advance its objectives of building a more resilient semiconductor supply chain.

US export controls and sovereignty efforts threaten allied efforts. Although Trump has adopted a more permissive export policy for AI semiconductors, the White House's shifting policy on advanced AI models has unsettled allies. Washington's export controls on Anthropic's Fable and Mythos models did not target allies, but the measures still affected and concerned them. The episode underscores the power of Washington's new "kill switch" for AI models and has heightened concern in allied capitals, creating additional risk for US companies (see note: Anthropic cut-off will boost tech sovereignty efforts abroad , 19 June 2026).

Meanwhile, continued US criticism of allies' tech sovereignty agendas and domestic regulations risks alienating the countries Washington is trying to court. In February, Secretary of State Marco Rubio urged diplomats worldwide to fight tech sovereignty efforts, and in a recent blog post, Undersecretary of State Jacob Helberg, the architect of Pax Silica, made the public case, describing digital sovereignty as "synchronized mediocrity." Helberg describes a coalition of cooperative partners, but he offers neither shared governance nor reassurance against the risk of falling on the wrong side of US chokepoints.

The administration's political posture thus risks undermining its goals. Its emphasis on what partners can offer feeds the perception that Washington's primary goal is to channel resources to US companies and increase dependence on the US tech stack rather than support the ambitions of partner countries. Rubio is now walking back some of the more aggressive efforts, instructing diplomats to downplay Washington's so-called "kill-switch" power. But concern over arbitrary US power is real, and without stronger incentives or assurances, Washington will struggle to secure cooperation beyond symbolic participation, except in circumstances where interests clearly align. On its current course, Washington will gain some benefits from these programs, but the returns will remain limited.

EG Geo-technology

geo-technology@eurasiagroup.net

Scott Bade

Senior Analyst, Geo-technology

+1 202.540.5140

bade@eurasiagroup.net

Xiaomeng Lu

Director, Geo-technology

+1 202.316.7259

lu@eurasiagroup.net

Carisa Nietzsche

Senior Analyst, Geo-technology

nietzsche@eurasiagroup.net

Heather West

Practice Head, Geo-technology

west@eurasiagroup.net

Kendal Walker

Senior Analyst, United States

walker@eurasiagroup.net

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